3. What is meant by debt equity ratio?
4. What does return on investment ratio indicate?
5. State any two limitations of ratio analysis.

III Short answer questions

1. Explain the objectives of ratio analysis.
2. What is inventory conversion period? How is it calculated?
3. How is operating profit ascertained?
4. State any three advantages of ratio analysis.
5. Bring out the limitations of ratio analysis.

IV Exercises

Liquidity ratios

1. Calculate the current ratio from the following information.

Particulars	₹	Particulars	₹
Current investments	40,000	Fixed assets	5,00,000
Inventories	2,00,000	Trade creditors	80,000
Trade debtors	1,20,000	Bills payable	50,000
Bills receivable	80,000	Expenses payable	20,000
Cash and cash equivalents	10,000	Non-current liability	3,00,000

(Answer: Current ratio: 3:1)

2. Calculate quick ratio: Total current liabilities ₹ 2,40,000; Total current assets ₹ 4,50,000; Inventories ₹ 70,000; Prepaid expenses ₹ 20,000

(Answer: Quick ratio: 1.5:1)

3. Following is the balance sheet of Lakshmi Ltd. as on 31st March, 2019:

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
Equity share capital	4,00,000
2. Non-current liabilities	2,00,000
Long term borrowings	
3. Current liabilities	
(a) Short-term borrowings	50,000
(b) Trade payables	3,10,000
(c) Other current liabilities	
Expenses payable	15,000
(d) Short-term provisions	25,000
Total	**10,00,000**
II ASSETS	
1. Non-current assets	
(a) Fixed assets	4,00,000
Tangible assets	

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